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MEMORANDUM OF CONVERSATION WITH MR. YANG CHAO CHIA,
Member of the Provincial Administrative Council in Taiwan. Taipei, January 16, 1950.

A private interview was held by Ambassador Jessup with Mr. Yang in the Consular residence on January 16, 1950. Mr. Gibson and Vice Consul Osborn were present, the latter acting as interpreter.

Mr. Yang began by apologizing for not having had a reception for the Ambassador, but explained it would be unwise at this time. He then explained that he agreed thoroughly with the White Paper concerning corruption and rottenness generally. He commented that under 51 years of Japanese rule the Taiwanese were resentful and anxious to get closer to China, their ancestral home. They favored England and America in the war, rejoiced in Japanese defeats. After the war the Taiwanese received the Chinese with enthusiasm but it was not reciprocated as expected. They soon found that the KMT rule was more feudal and colonial than that of the Japanese. The Formosans on the mainland were very badly treated. He cited his own case. For thirty years he had led the exiled Formosans in China yet at the end of the war he was arrested in Shanghai and held prisoner for 42 months before being freed and allowed to return to Taiwan. Because of the oppression of the people an anti-Chinese movement has gained considerable momentum in Taiwan.

Under the four post-war Chinese Governors the KMT should have taken some Taiwanese into the Government. They failed to do so. The Government has failed utterly to use the talents of the Taiwanese or give them any authority. The Japanese built up a good economic framework in Taiwan with Japanese capital but only because of the sweat and tears of the Formosan people themselves.

The Japanese industrial capacity has been destroyed and despoiled by Chinese waste and pilferage. This is Taiwan's greatest tragedy. The Chinese refuse to employ the Taiwanese as anything but coolies. Taiwanese peasants are orderly and law abiding. The Japanese were therefore able to keep them under control relatively simply. Production in Taipei is not only 60% of prewar. The financial situation is rapidly deteriorating - there is an increased circulation of money with lower purchasing power. Taiwan is grateful for ECA but they are making only a small contribution for the goods do not reach the consumer until they have enriched the middlemen enroute.

There were 110 uprisings in Taiwan in 51 years under Japanese rule. The February 1947 revolt was against the oppression and cruel methods of the KMT. People were arrested, imprisoned and even executed without trial. There were disappearances and Gestapo methods. It will take 20 years to replace the Taiwanese leaders lost at that time.

Because of the KMT methods the people of Taiwan have grown further and further away from China. He hopes that something will spring from the people to assure Taiwanese independence but is not too optimistic. He has told all this even to the Gimo. The military must be separated from the civilian

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administration. The Army did and is doing nothing to resist the Communists, is simply awaiting them.

Dr. Jessup inquired whether the Gimo agreed with him. No, he did not. He accused Mr. Yang of being a dissenter. Yang explained that he was the only one who told the Gimo the truth and that the Government must be based on truth. What he told the Gimo was new to him for no one had the courage to tell him that before.

Yang spoke of the tragedy of the Cairo Conference decision which gave Taiwan to the Chinese. He stated that we had a responsibility in the question for it was President Roosevelt's decision. Taiwan must, he believed, be separated from the mainland until lines could bring them together in the future. He drew a parallel with the American Revolution which separated two people of the same origin and did not prevent them from coming together for their mutual benefit at a later date. Mr. Yang hoped to plant the seeds which would lead to an eventual plebiscite of the people of Taiwan so that they might choose their own destiny.